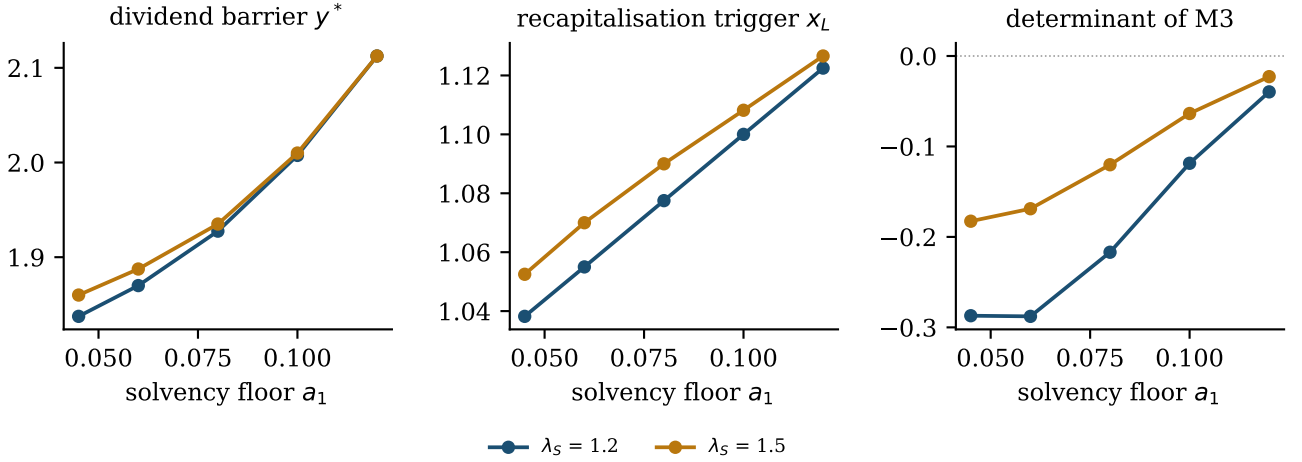
dividend barrier y^*
2.1
2.0
1.9
0.050
0.075
0.100
solvency floor a_1
recapitalisation trigger x_L
1.12
1.10
1.08
1.06
1.04
0.050
0.075
0.100
solvency floor a_1
determinant of M3
0.0
−0.1
−0.2
−0.3
0.050
0.075
0.100
solvency floor a_1
λ_S = 1.2
λ_S = 1.5